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Strategic Trading Analysis

Step 1: Audit the Data

- **Data Present:** Daily, weekly, and intraday price charts; multiple moving averages (EMA 20, 50, 200); momentum oscillators (MACD, RSI); volatility indicators (Bollinger Bands, ATR); trend followers (Supertrend); volume analysis (distribution days, accumulation/distribution); Relative Strength versus benchmark; and fundamental/analyst snapshot data.
- **Data Missing:** Broader market (Nifty 50) absolute trend context, options open interest (OI) data, and order book depth.
- **Confidence Level: High**. The provided report is highly comprehensive, covering technical, fundamental, and quantitative metrics across multiple timeframes, allowing for a highly robust technical assessment.

Step 2: Analyze the Setup

- **Price Structure & Trend:** DIVISLAB.NS (Current Price: INR 6100) is currently experiencing a medium-term structural breakdown. The stock is trading below its 20-day (6202), 50-day (6248), and 200-day (6227) EMAs. The moving averages are beginning to cluster above the current price, creating a heavy zone of overhead resistance.
- **Momentum:** Both Daily and Weekly MACD are in a bearish configuration with weakening momentum. The daily RSI is subdued at 43.77, reflecting a lack of buying interest. The multi-timeframe Supertrend analysis is universally bearish (Sell) on the daily and weekly charts.
- **Volume & Supply/Demand:** Candlestick classification currently flags "Seller Control." Furthermore, volume analysis indicates multiple recent "Distribution Days" late in February 2026, confirming that institutional supply is currently overpowering demand.
- **Confluence:** While fundamental metrics are improving and durability scores are high, the technical picture is unequivocally bearish in the intermediate term. Relative Strength against the Pharma index is completely neutral. There is currently no technical confluence to support a high-probability bullish setup for a 1-4 month swing trade.

Step 3: Formulate the Recommendation

Recommendation: NO

Reasoning: As a risk-averse positional trader, buying into a stock trading beneath all major moving averages with active distribution volume and bearish momentum is effectively attempting to catch a falling knife. A high-probability intermediate-term trade requires an established uptrend or a confirmed reversal, neither of which is present right now.

Conditional Trade Plan (Watchlist Setup): To consider an entry targeting a 5%-15% upside, the stock must prove it has absorbed the current supply and re-established an uptrend.

- **Condition to Buy:** A strong daily close above the heavy resistance cluster of the 50-day and 200-day EMAs (above INR 6280), accompanied by a bullish daily MACD crossover and a flip in the Daily Supertrend to "Buy."
- **Entry Price:** INR 6300.00 (Hypothetical trigger confirming the breakout above moving averages).
- **Stop Loss:** INR 5980.00 (Hypothetical hard risk placed below recent psychological support and the lower Bollinger Band).
- **Take Profit:** INR 6850.00 (Hypothetical target aligning with previous swing highs and the analyst consensus target, offering an approximate +8.7% upside with a nearly 1:1.7 risk/reward ratio).

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Candlestick Classification Analysis

As a seasoned Candlestick Trader applying the provided 5-step classification algorithm, I have analyzed the "Candlestick Classification" chart (Page 21) and the corresponding summary (Page 20) for DIVISLAB.NS.

Here is my interpretation of the price action and my prediction for the future price movement.

1. Macro Price Action & Trend Context

Looking at the chart on Page 21, the stock has been in a definitive **downtrend** since peaking near the INR 6,800-INR 6,900 zone in late 2025. * We see a classic sequence of **lower highs and lower lows**. * During this descent, the rally attempts (bounces) have been characterized largely by "No Control" (Grey) or weak "Buyer Control" (Light Green) candles, indicating a severe lack of conviction from buyers.* The occasional "Buyer Strong Control" (Dark Green) candles seen historically (e.g., around October 2025) are completely absent in the most recent quarter of price action.

2. Micro Price Action & Recent Candlestick Classification

Zooming in on the far right of the chart (the most recent trading weeks):* **Failed Bounce & Rollover:** The stock recently found a temporary floor near INR 5,900-INR 6,000 and attempted a bounce. However, as it approached the INR 6,400 level, the candles quickly reverted to **"Seller Control" (Light Red)** and **"No Control" (Grey)**.* **Latest Signals:** According to the summary on Page 20, the **Latest Classification is "Seller Control" (-1)**, and the 10-day moving average of the trend score is **-0.20**. This negative rolling average confirms that over the last two weeks, sellers have been quietly but consistently dominating the tape.* **Wicks & Close Positions:** The algorithm factors in close positions and wicks. The recent light red candles tell us that any intraday attempts by buyers to push the price up (upper wicks) are being firmly rejected by sellers, forcing the daily close near the lower end of the range.

3. Volume Confirmation (Step 4 of the Algorithm)

- *"Price without volume is half the story."*
- Looking at the volume sub-chart at the bottom of Page 21, the recent down-moves (Light Red candles) are accompanied by steady, average volume, while the preceding upward bounces had noticeably lower volume (preventing them from achieving a +2 Strong Buyer Control rating).
- Because volume acts as a multiplier in this algorithm, the lack of high-volume green days indicates that institutional buyers are absent. The sellers don't need massive volume to push the price down because there is no significant buying demand acting as support.

Prediction & Actionable Insight

Future Price Direction: BEARISH (Downward)

Trading Rationale: The path of least resistance is down. The stock has just rolled over from a lower high (~INR 6,400) and is currently under "Seller Control". Buyers have repeatedly failed to print a +2 "Buyer

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Strong Control" (Dark Green) candle with high volume to break the downtrend structure.

What to watch for:1. **Immediate Target:** Expect the price to test the recent swing low support zone around **INR 5,900-INR 6,000**.2. **Breakdown Risk:** If a **"Seller Strong Control" (-2, Dark Red)** candle prints near this INR 6,000 support on high volume, it will signal a severe structural breakdown, leading to much lower prices.3. **Invalidation:** As a trader, I would not even consider a long position until I see a validated **"Buyer Strong Control" (+2, Dark Green)** candle print at support. This would require a large bullish body, closing near the day's high, accompanied by a high-volume multiplier (>1.3x average), proving that institutions have finally stepped in to absorb the selling pressure. Until that specific signal appears, the bears own this chart.

News & Analyst Targets

As a stock research analyst, here is the latest comprehensive research report and update on **Divi's Laboratories (DIVISLAB)** as of the week ending **March 21, 2026**.

1) Latest News for DIVISLAB This Week

- **Price Action & Consensus Update:** As of March 20, 2026, DIVISLAB shares are trading at around INR 6,100, seeing a recent uptick (+2.2% in Friday's session) amid rising market momentum and a surge in open interest. The current consensus 12-month average target price for the stock has ticked up to INR 6,875.
- **Recent Q3 FY26 Earnings Impact:** The market is still digesting Divi's Q3 FY26 earnings (released mid-February). The company posted a 12.3% year-on-year revenue growth (INR 2,604 crore), driven primarily by a 20% YoY growth in its Custom Synthesis business. While net profit dropped marginally by 1% to INR 583 crore, this was solely due to a one-time labor code impact of INR 74 crore. Operating margins expanded notably to 34.2%.
- **Capacity Expansions on Track:** The company confirmed it is continuing with aggressive capacity expansions. Phase I of its new manufacturing facility in Kakinada, Andhra Pradesh, has successfully commenced operations, which will help fulfill long-term customer agreements.

2) Brokerage Upgrades and Downgrades

The stock has seen a flurry of mixed to bullish actions from major brokerages following its recent earnings and market positioning:* **Systematix (Upgrade):** Upgraded Divi's Labs after its Q3 FY26 results, highlighting that the Custom Synthesis segment is poised for sustained, aggressive growth due to favorable currency dynamics and a better business mix.* **Jefferies (Target Raised):** Maintained a **Buy** rating and hiked its target price from INR 8,000 to **INR 8,100** post-Q3 results. They remain highly optimistic about the custom synthesis expansion.* **Citi (Bullish Outlook Maintained):** Reitirated a strong **Buy** with a street-high target of **INR 9,140**. Citi designated 2026 as a "turning point" for Divi's, expecting revenue and EBITDA to triple or quadruple between FY25 and FY30.* **Goldman Sachs & ICICI Securities (Cautious/Downgrades):** Goldman Sachs remains cautious regarding the stock's near-term valuation, while domestic brokerages like ICICI Securities have previously maintained a **Sell** due to generic pricing pressures.* **Morgan Stanley (Positive Note):** Issued a positive outlook noting an expected recovery in Divi's export numbers.

3) Other News Impacting DIVISLAB (Direct & Indirect)

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- **The GLP-1 Drug Boom (Direct Impact):** One of the biggest structural catalysts for Divi's is its foray into the GLP-1 weight-loss and diabetes drug supply chain. Major molecules like *Tirzepatide* and *Orforglipron* are slated to hit expanded market phases in H1 and H2 of 2026. Analysts view this as a massive, long-term revenue generator for Divi's Custom Synthesis wing.
- **Patent Expiries & Generic APIs (Indirect Impact):** Historically a weak point, the generic API segment is expected to see an influx of new opportunities starting in 2026 due to the loss of patent exclusivity on several global medications. This is expected to trigger a recovery in Divi's generic API volumes.
- **Contrast Media Dominance (Direct Impact):** Divi's is seeing increasing revenues associated with its contrast media products (used in medical imaging), specifically highlighting growing capacity and demand for *Iohexol* and *Iopromide*.
- **Union Budget 2026 & US Tariffs (Indirect Impact):** The recent Indian Budget 2026 placed a heavy emphasis on boosting the domestic pharma and biologics sectors. Furthermore, amid ongoing US tariff disputes, the Indian pharma sector has been spared from additional tariffs, offering Divi's (which gets ~74% of its revenue from the US and Europe) significant geopolitical leeway and export stability.

4) Latest Targets from Analyst Community and Brokerages

Below is a summary of the most recent price targets and ratings issued by major brokerages and consensus data for DIVISLAB (Current Price: ~INR 6,100):

Brokerage / Research Firm	Recommendation	Target Price (INR)	Implied Upside/Downside	Key Thesis / Context
Citi	Buy	INR 9,140	+49.8%	2026 is an inflection year; heavy GLP-1 & Custom Synthesis pipeline tailwinds.
Jefferies	Buy	INR 8,100	+32.7%	Target hiked post-Q3; driven by sustained margin expansion and favorable business mix.
Motilal Oswal	Neutral	INR 6,925	+13.5%	Balanced risk-reward; pricing pressure in standard generics offsets some API gains.
Deven Choksey	Accumulate	INR 6,795	+11.3%	Valuations pricing in much of the near-term custom synthesis recovery.
ICICI Securities	Sell	INR 5,400	-11.4%	Cautious on overall generic pricing drag and near-term export volatility.
Systematix	Upgrade	Not Disclosed	N/A	Upgraded post-Q3 on custom synthesis expansion and aggressive capex execution.

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Brokerage / Research Firm	Recommendation	Target Price (INR)	Implied Upside/Downside	Key Thesis / Context
Consensus Average	Hold	INR 6,875	+12.7%	Aggregated across 30+ analysts covering the stock as of March 2026.

Disclaimer: Target prices and stock ratings are subject to market conditions. This data is for informational research purposes only.

Stock Detailed Analysis Report

DIVISLAB.NS

Current Price: ₹6100.00

Generated: 2026-03-21 08:36

DIVISLAB.NS - 3 Year Daily Price Chart

Long-term Fundamental Analysis (4 Years)

Metric	Is Growing?	Accelerating?	1Y Growth	3Y CAGR
Revenue	Yes	Yes	19.61%	1.95%
Net Income	No	Yes	36.94%	-9.55%
ROE	No	Yes	24.15%	-16.61%
EPS	No	Yes	36.93%	-9.55%

Short-term Fundamental Analysis (6 Quarters)

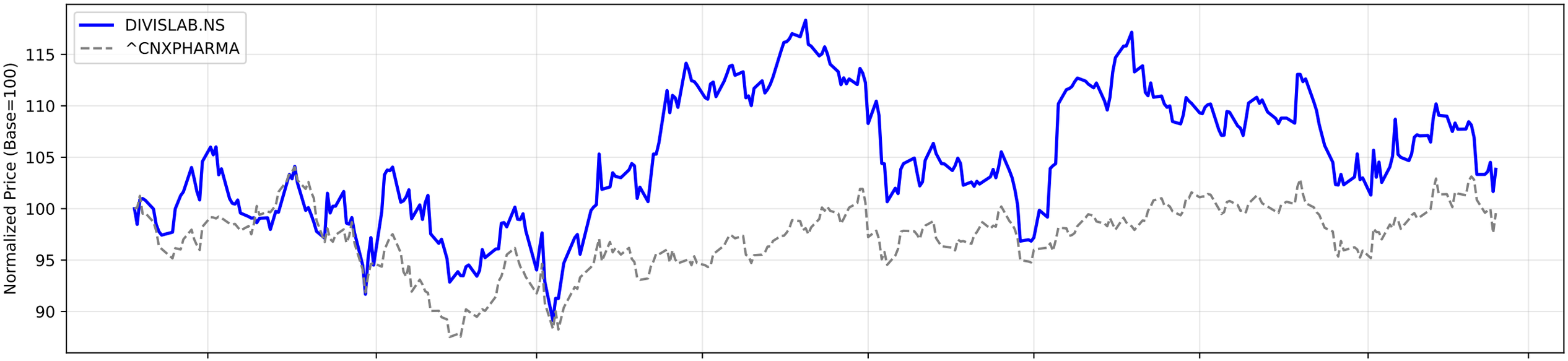
Metric	Is Growing?	Recent QoQ	Avg QoQ
Revenue	Yes	8.05%	2.93%
Net Income	Yes	6.97%	4.30%
ROE	Yes	18.95%	18.95%
EPS	Yes	7.27%	13.81%

DIVISLAB.NS - Relative Strength Analysis

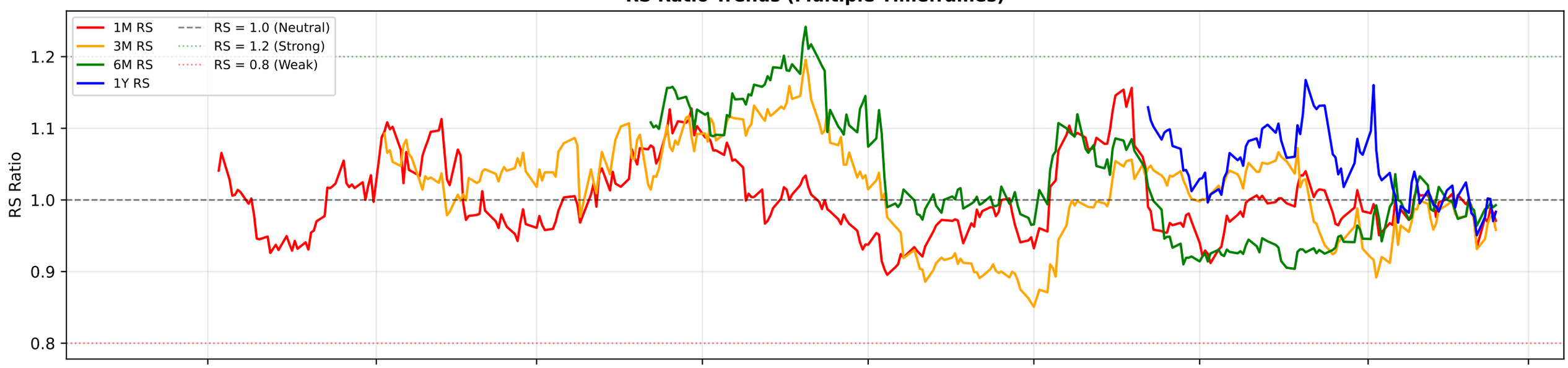
═══ OVERVIEW ═══:	
Benchmark Index:	^CNXPHARMA
Sector:	Pharma
Classification:	**Neutral**
RS Score:	48.7/100
:	
═══ RS RATIOS ═══:	
1M RS:	**0.971 [Neutral]**
3M RS:	**0.958 [Neutral]**
6M RS:	**0.993 [Neutral]**
1Y RS:	**0.983 [Neutral]**
:	
═══ TURNAROUND ANALYSIS ═══:	
Turnaround Status:	**Not Detected**
:	
SIGNAL CRITERIA::	
✓ **Emerging RS:**	1M (0.971) > 3M (0.958)
✓ **Medium-term Lagging:**	6M=0.993, 1Y=0.983 (≤1.0)
✗ **Performance Improving:**	**Not improving**

Relative Strength Analysis: DIVISLAB.NS vs ^CNXPHARMA
Classification: Neutral

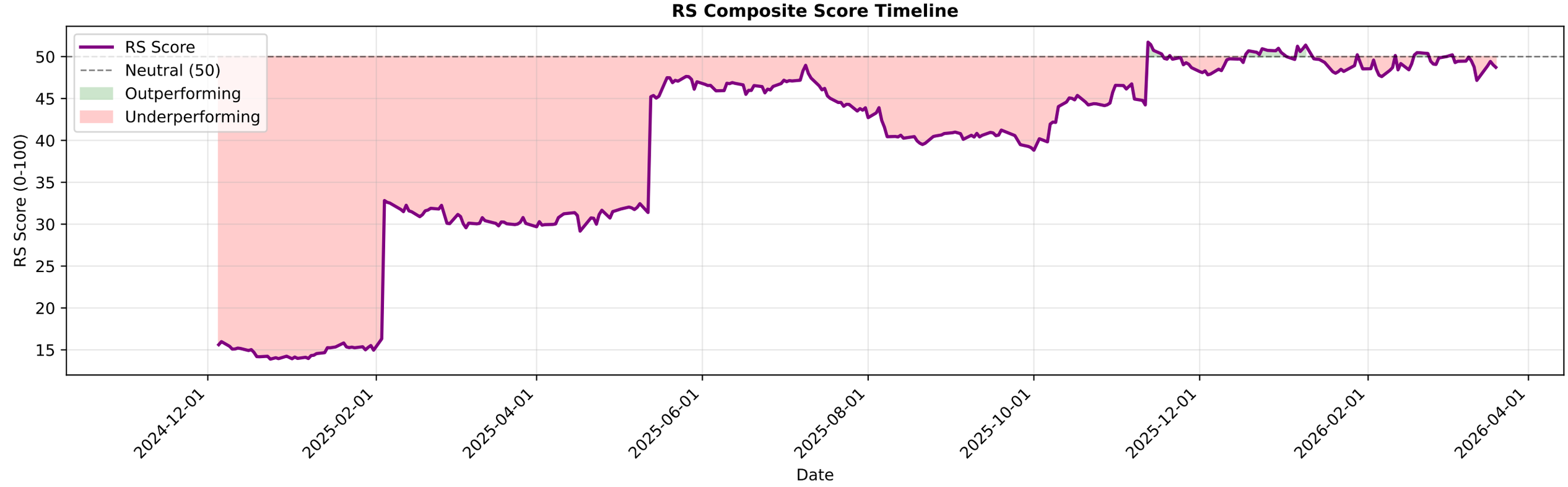
Price Performance Comparison (Normalized)



RS Ratio Trends (Multiple Timeframes)

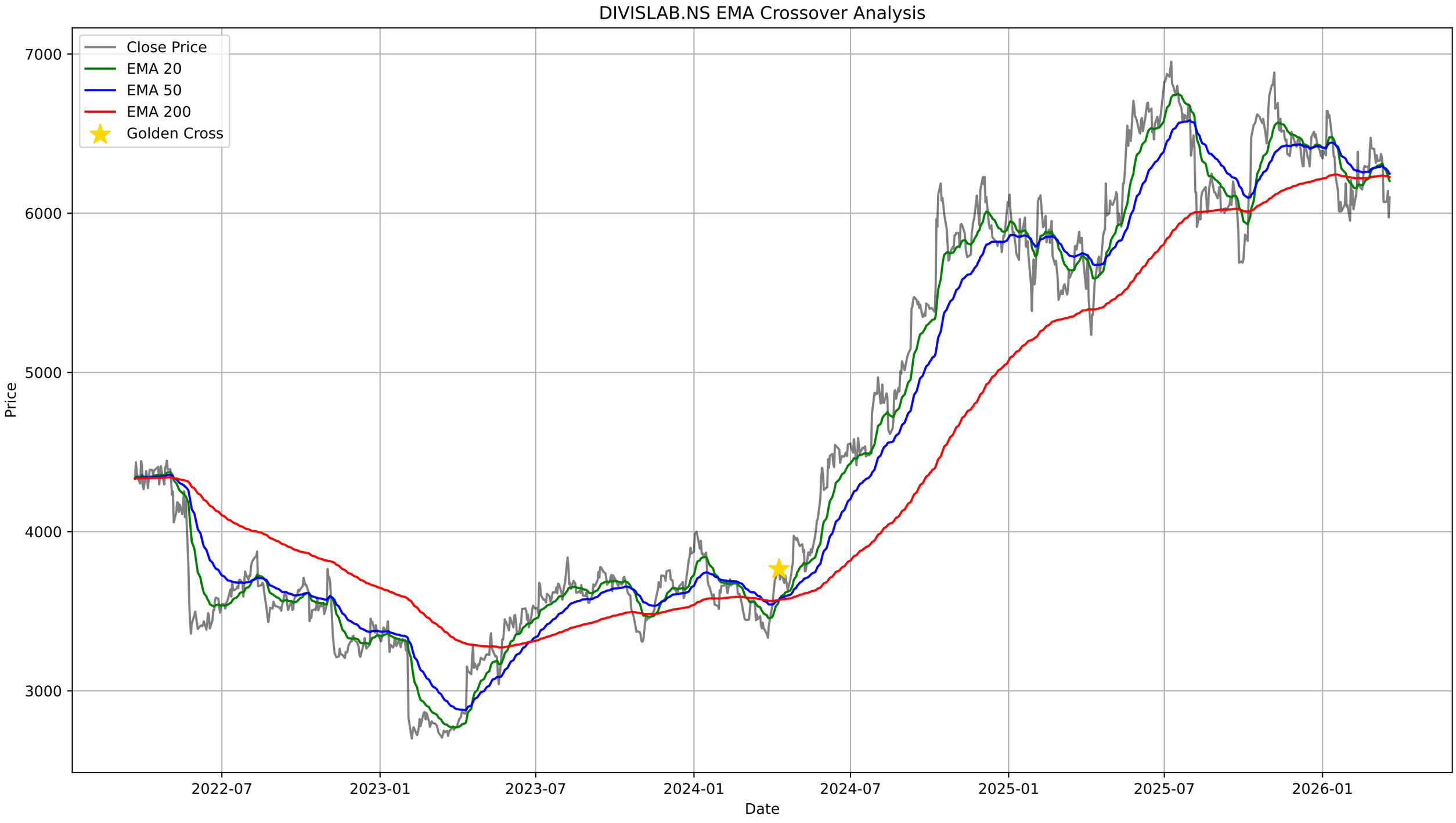


RS Composite Score Timeline



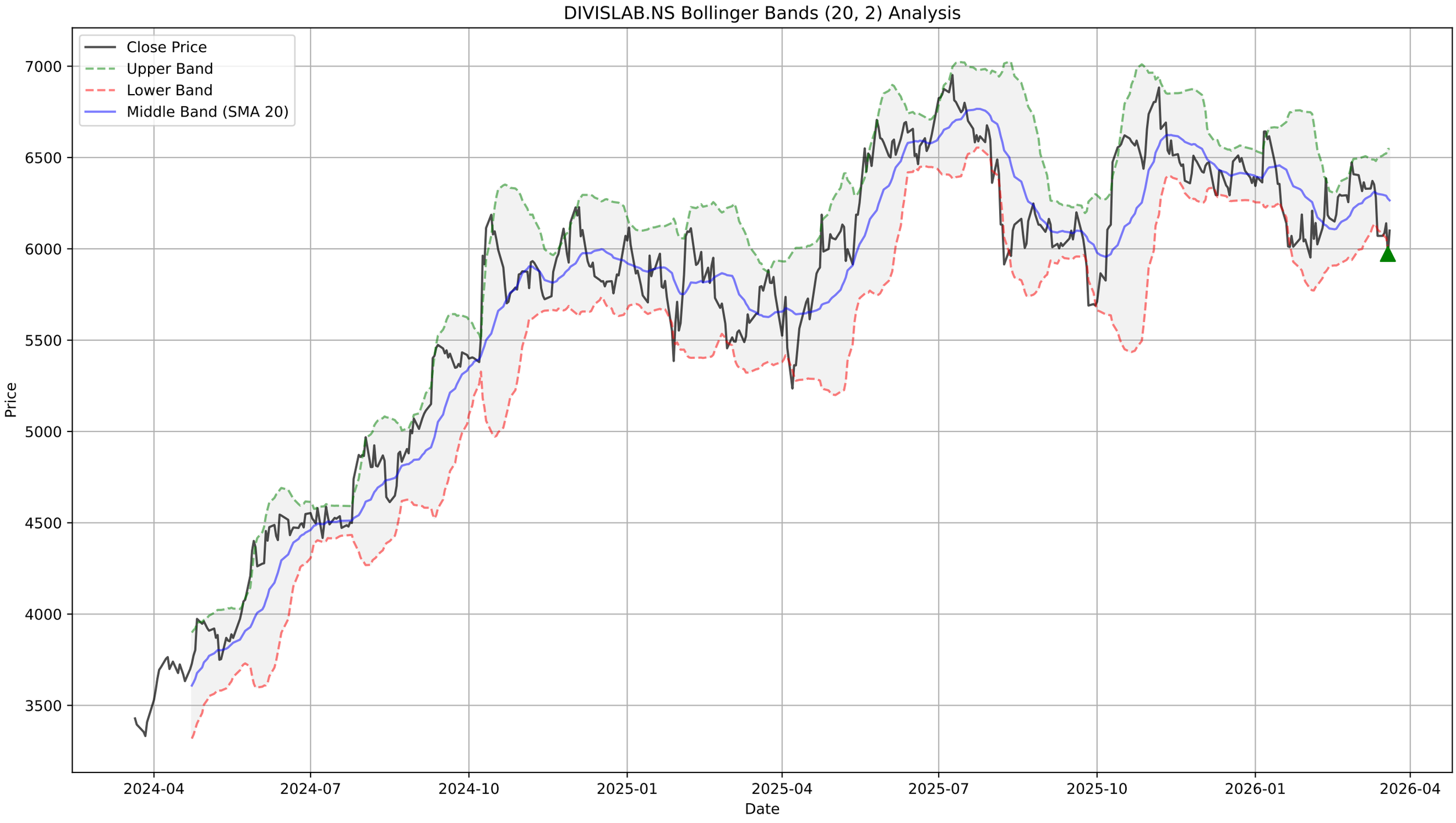
DIVISLAB.NS - EMA Crossover Summary

EMA 20:	6202.62
EMA 50:	6248.77
EMA 200:	6227.33
Trend Status:	**Short-term Downtrend**
Golden Cross Date:	2024-04-09 00:00:00+05:30
Golden Cross Price:	3764.60


DIVISLAB.NS EMA Crossover Analysis
Close Price
EMA 20
EMA 50
EMA 200
Golden Cross
Price
7000
6000
5000
4000
3000
2022-07
2023-01
2023-07
2024-01
2024-07
2025-01
2025-07
2026-01
Date

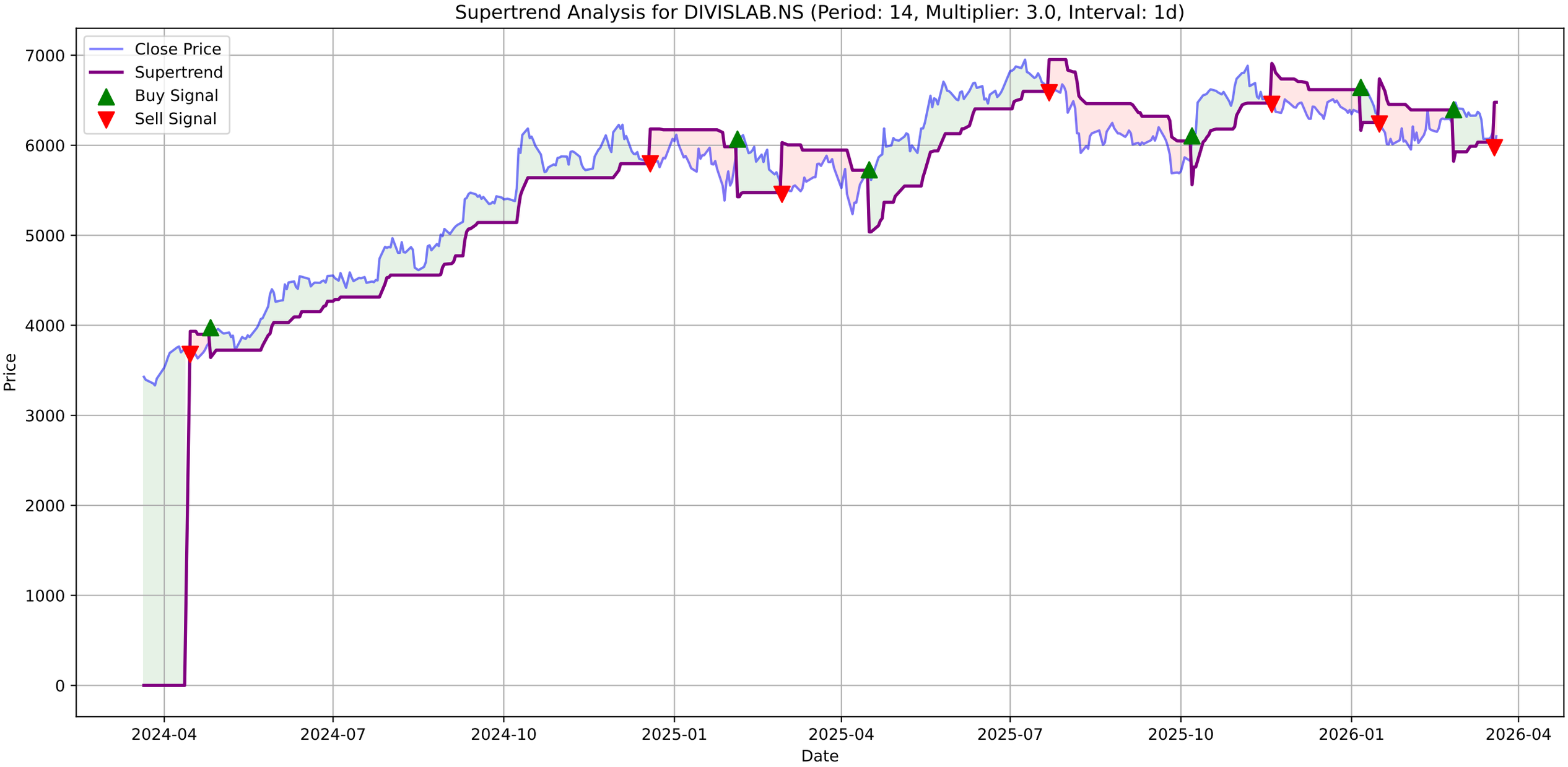
DIVISLAB.NS - Bollinger Bands Summary

Current Price:	6100.00
Upper Band:	6547.45
Middle Band (SMA 20):	6265.43
Lower Band:	5983.40
%B:	0.2067
Band Width:	0.0900
Status:	Lower Half
Signal:	None
Recent Signal 1:	**Buy Signal at 2026-03-19 00:00:00+05:30**


DIVISLAB.NS Bollinger Bands (20, 2) Analysis
Close Price
Upper Band
Lower Band
Middle Band (SMA 20)
Price
7000
6500
6000
5500
5000
4500
4000
3500
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04
Date

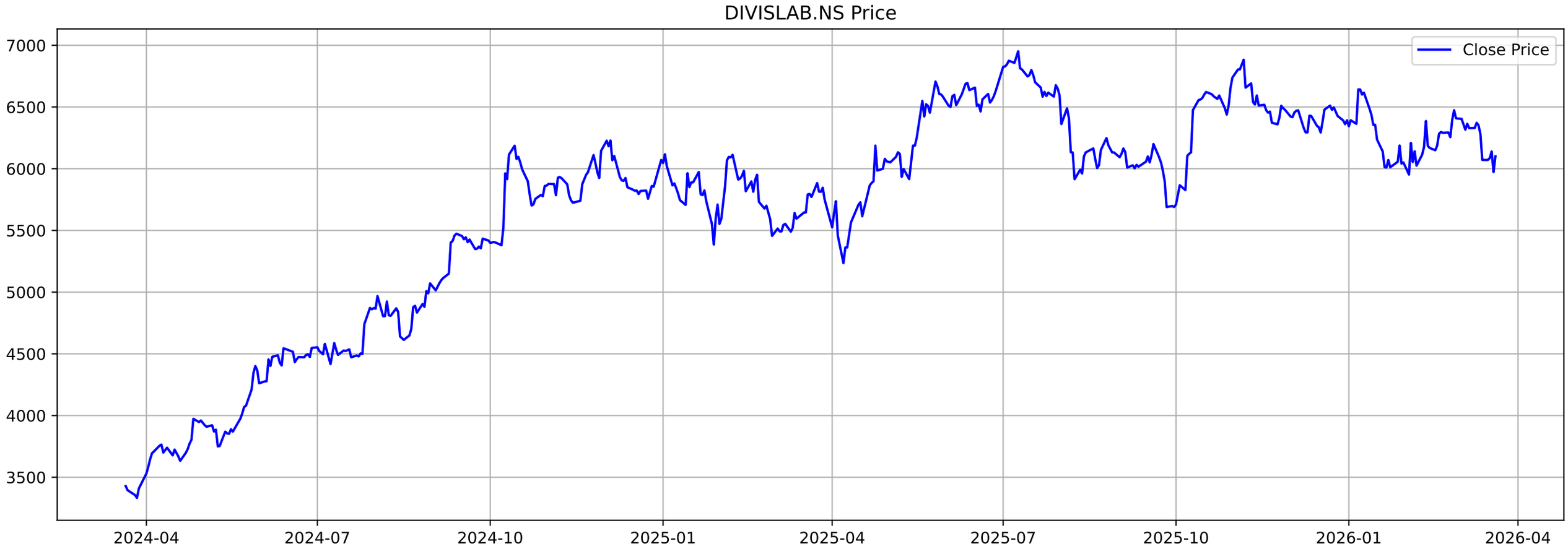
DIVISLAB.NS - Supertrend Summary

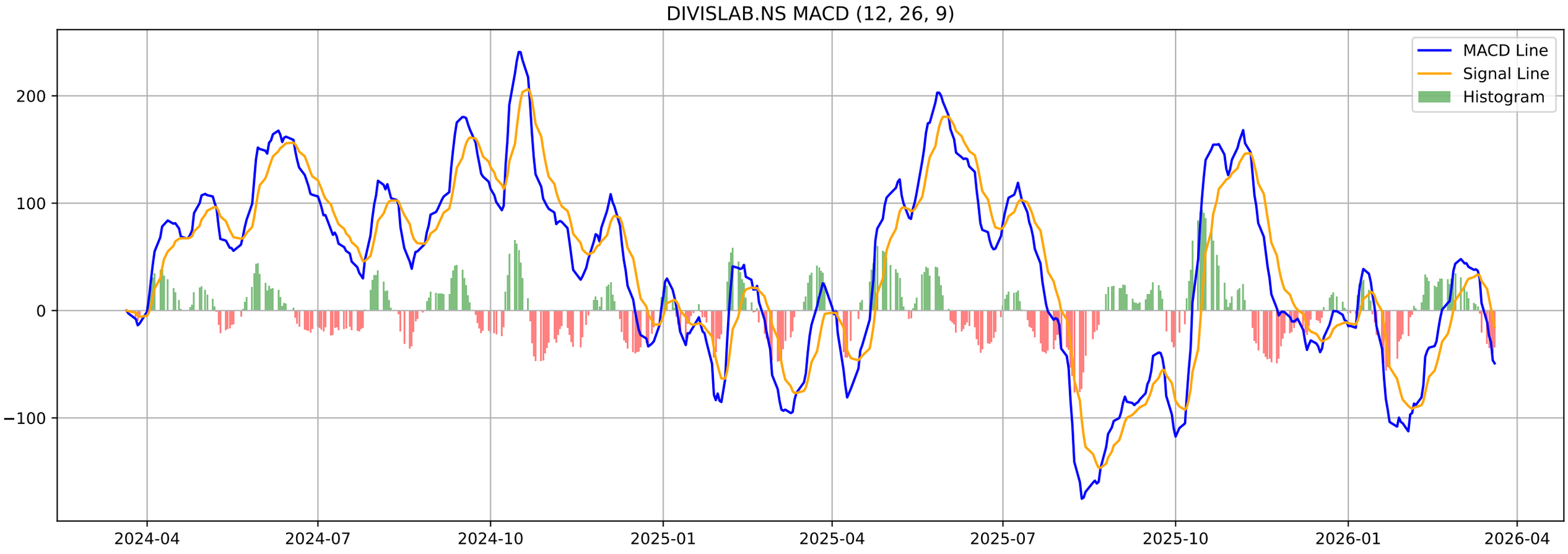
Status:	**DOWNTREND (Sell)**
Supertrend Value:	6477.86
Signal Identified On:	2026-03-19


Supertrend Analysis for DIVISLAB.NS (Period: 14, Multiplier: 3.0, Interval: 1d)
Close Price
Supertrend
Buy Signal
Sell Signal
Price
Date
7000
6000
5000
4000
3000
2000
1000
0
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04

DIVISLAB.NS - MACD Summary

MACD Line:	-49.23
Signal Line:	-15.28
Histogram:	-33.96
Trend:	**Bearish**
Momentum:	**Weakening**
Signal:	None

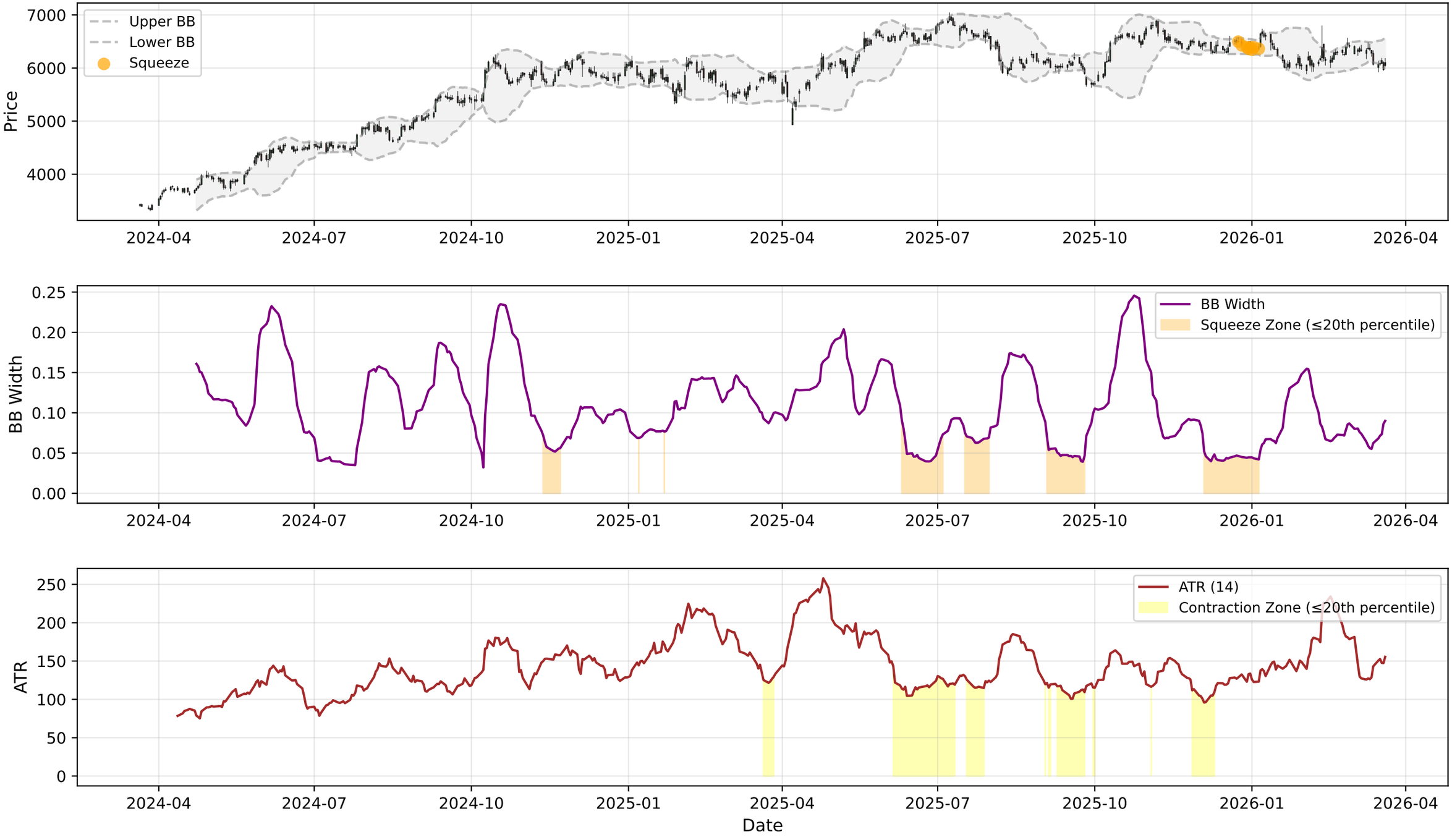

DIVISLAB.NS Price
Close Price
7000
6500
6000
5500
5000
4500
4000
3500
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04


DIVISLAB.NS MACD (12, 26, 9)
MACD Line
Signal Line
Histogram
200
100
0
−100
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04

DIVISLAB.NS - Volatility Squeeze Summary

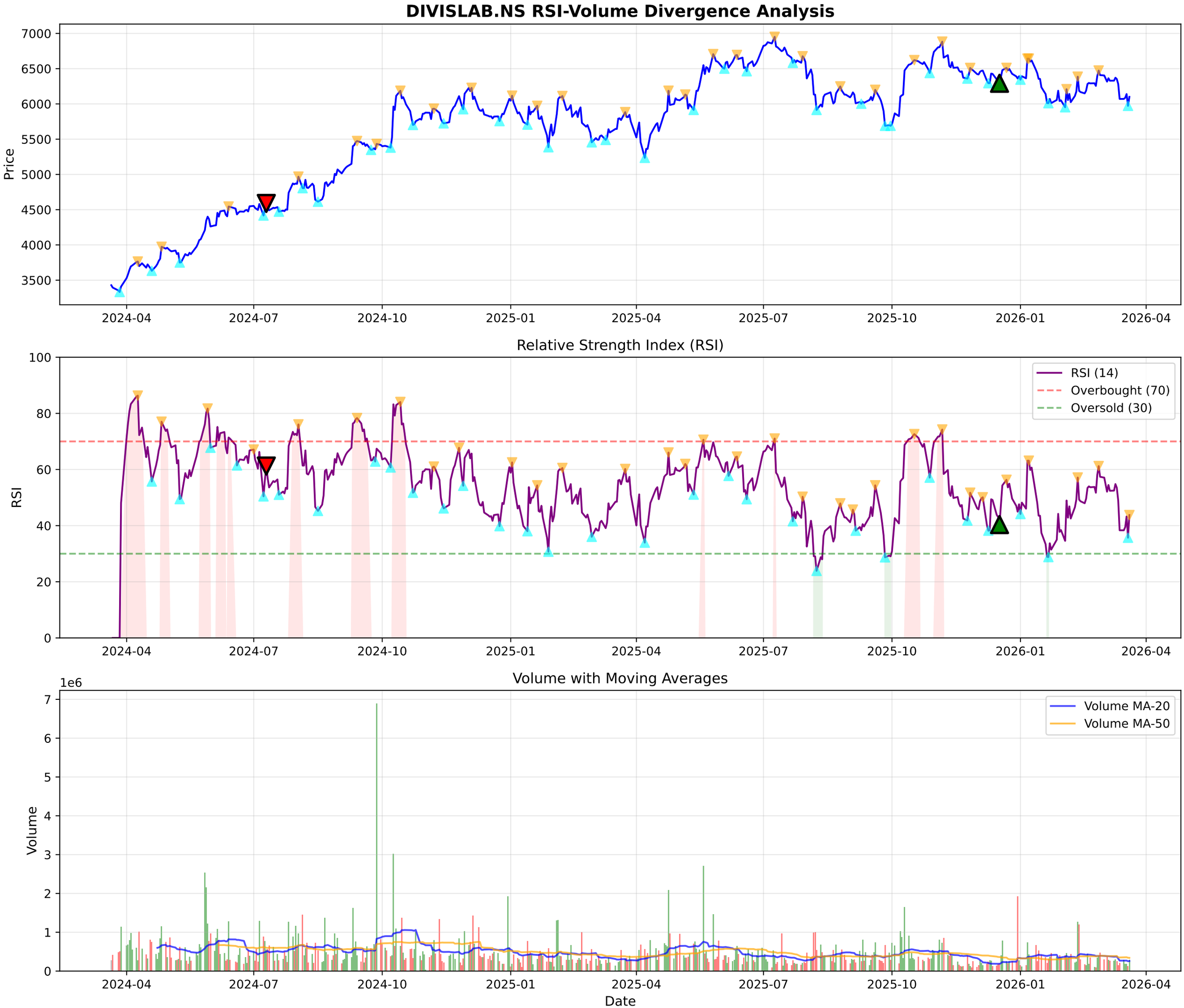
BB Width:	0.0900
ATR:	155.5714
Total Signals:	8
Signal 1:	BB Squeeze at 2025-12-30 00:00:00+05:30 (Price: 6360.50)
Signal 2:	BB Squeeze at 2025-12-31 00:00:00+05:30 (Price: 6392.50)
Signal 3:	BB Squeeze at 2026-01-01 00:00:00+05:30 (Price: 6344.00)
Signal 4:	BB Squeeze at 2026-01-02 00:00:00+05:30 (Price: 6392.50)
Signal 5:	BB Squeeze at 2026-01-05 00:00:00+05:30 (Price: 6363.50)

DIVISLAB.NS - Volatility Squeeze Analysis



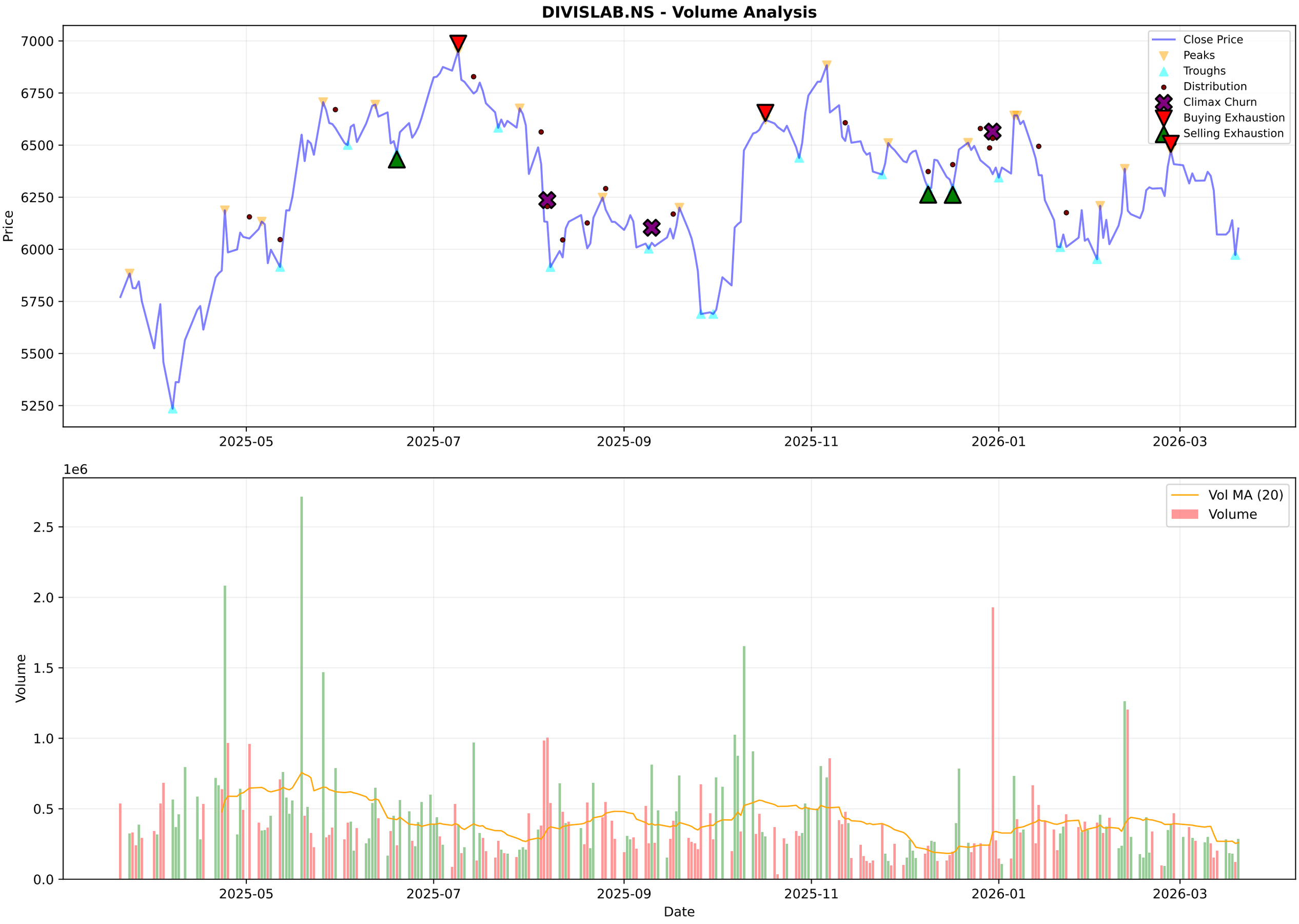
DIVISLAB.NS - RSI-Volume Summary

Current RSI:	43.77
Current Volume:	283471
Volume MA 20:	259327
Bullish Divergences:	1
Bearish Divergences:	1
Bullish Div 1:	Date: 2025-12-17 00:00:00+05:30, Price: 6293.00
Bearish Div 1:	Date: 2024-07-10 00:00:00+05:30, Price: 4587.77


DIVISLAB.NS RSI-Volume Divergence Analysis
Price
7000
6500
6000
5500
5000
4500
4000
3500
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04
Relative Strength Index (RSI)
RSI
100
80
60
40
20
0
RSI (14)
Overbought (70)
Oversold (30)
Volume with Moving Averages
1e6
Volume
7
6
5
4
3
2
1
0
Volume MA-20
Volume MA-50
Date

DIVISLAB.NS - Volume Analysis

═══ VOLUME ANALYSIS ═══:	
Status:	**28 Signals Detected**
:	
2025-12-30 [-]:	Distribution Day
2026-01-14 [-]:	Distribution Day
2026-01-23 [-]:	Distribution Day
2026-02-26 [+]:	**Buying Exhaustion (Bearish Div)**
2026-02-27 [-]:	Distribution Day


DIVISLAB.NS - Volume Analysis
Close Price
Peaks
Troughs
Distribution
Climax Churn
Buying Exhaustion
Selling Exhaustion
Price
7000
6750
6500
6250
6000
5750
5500
5250
2025-05
2025-07
2025-09
2025-11
2026-01
2026-03
1e6
Vol MA (20)
Volume
2.5
2.0
1.5
1.0
0.5
0.0
Date

DIVISLAB.NS - Candlestick Classification Summary

═══ CANDLESTICK CLASSIFICATION ═══:	
Latest Classification:	**Seller Control**
Recent Trend Score (10-day avg):	-0.20
:	
Distribution:	
No Control:	117
Seller Control:	55
Buyer Control:	51
Seller Strong Control:	3
Buyer Strong Control:	3

DIVISLAB.NS - Candlestick Classification
Seller Strong Control
Seller Control
No Control
Buyer Control
Buyer Strong Control
Price
7000
6800
6600
6400
6200
6000
5800
5600
1e6
Volume
2.0
1.5
1.0
0.5
0.0
2025-07-02
2025-07-28
2025-08-22
2025-09-18
2025-10-15
2025-11-12
2025-12-08
2026-01-02
2026-01-29
2026-02-24
Date

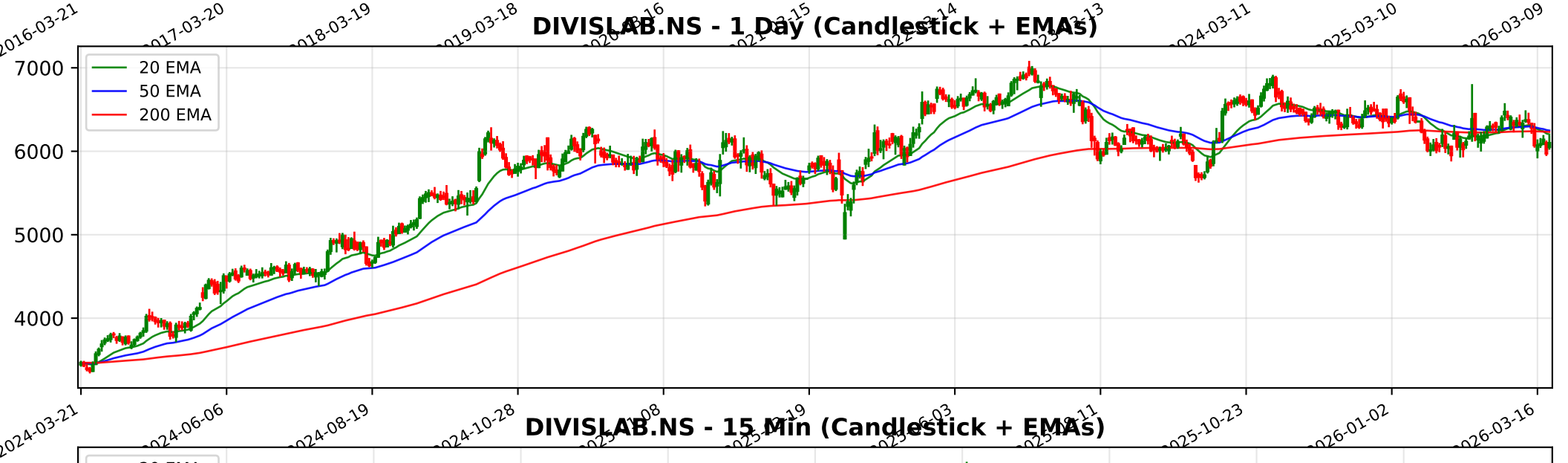
Multi-Timeframe Supertrend Analysis

Timeframe	Status	Value	Last Price	Signal Date
1 Week	**DOWNTREND (Sell)**	6695.25	6100.0	2026-01-19
1 Day	**DOWNTREND (Sell)**	6477.86	6100.0	2026-03-19
15 Min	**UPTREND (Buy)**	6088.04	6100.0	2026-03-20

Multi-Timeframe MACD Analysis

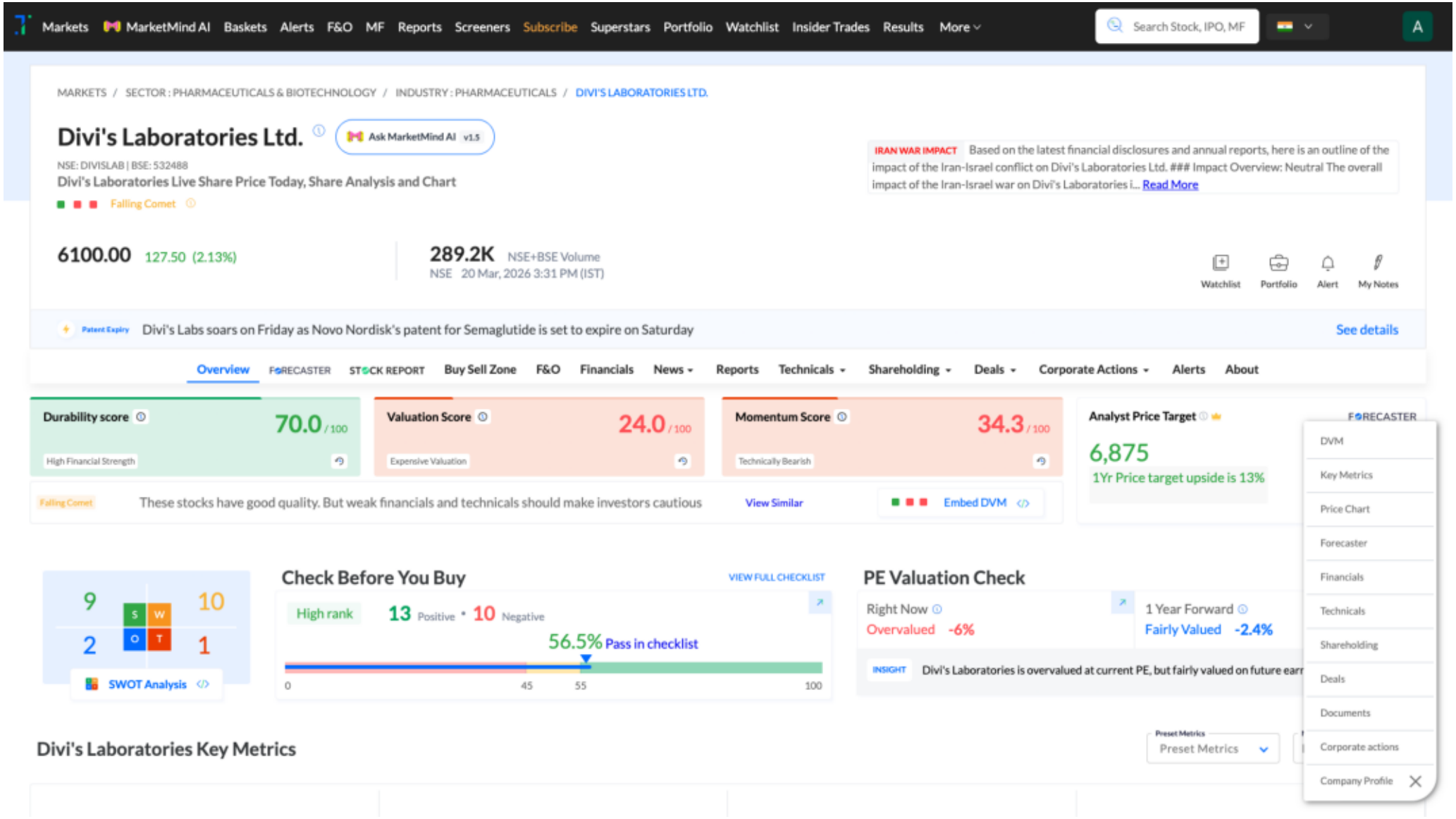
Timeframe	Trend	Momentum	Signal
1 Week	**Bearish**	Strengthening	No Signal
1 Day	**Bearish**	Weakening	No Signal
15 Min	**Bearish**	Strengthening	No Signal

DIVISLAB.NS - 1 Week (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
7000
6000
5000
4000
3000
2000
1000
2016-03-21
2017-03-20
2018-03-19
2019-03-18
2024-03-11
2025-03-10
2026-03-09


DIVISLAB.NS - 1 Day (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
7000
6000
5000
4000
2024-03-21
2024-06-06
2024-08-19
2024-10-28
2025-10-23
2026-01-02
2026-03-16

DIVISLAB.NS - 15 Min (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
6500
6400
6300
6200
6100
6000
5900
01-21
01-28
02-03
02-09
02-13
02-19
02-25
03-04
03-10
03-16
03-20

Trendlyne Snapshot - DIVISLAB_main



Trendlyne Snapshot - DIVISLAB_forecaster

Markets | MarketMind AI | Baskets | Alerts | F&O | MF | Reports | Screeners | Subscribe | Superstars | Portfolio | Watchlist | Insider Trades | Results | More

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MARKETS / SECTOR : PHARMACEUTICALS & BIOTECHNOLOGY / INDUSTRY : PHARMACEUTICALS / DIVI'S LABORATORIES LTD.

Divi's Laboratories Ltd.

NSE: DIVISLAB | BSE: 532488

Falling Comet

Download real time STOCK REPORT

6100.00 127.50 (2.13%)

289.2K NSE+BSE Volume

NSE 20 Mar, 2026 3:31 PM (IST)

Watchlist | Portfolio | Alert | My Notes

Patent Expiry Divi's Labs soars on Friday as Novo Nordisk's patent for Semaglutide is set to expire on Saturday — See details

Overview | FORECASTER | STOCK REPORT | Buy Sell Zone | F&O | Financials | News | Reports | Technicals | Shareholding | Deals | Corporate Actions | Alerts | About

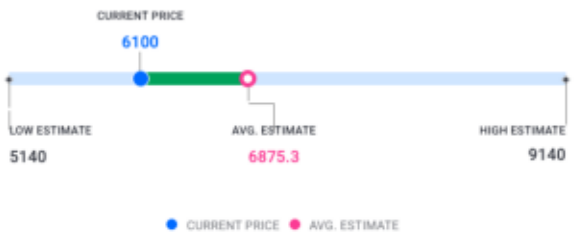
Divi's Laboratories - DIVISLAB - stock price prediction, stock forecast, target price, analyst ratings from 31 analysts

Divi's Laboratories has a share price target of Rs 6875, revenue growth forecast of 13.8%, and profit growth estimate of 16.9% for FY26, based on top 31 analyst calls.

Divi's Laboratories FORECASTER - Analyst Estimates

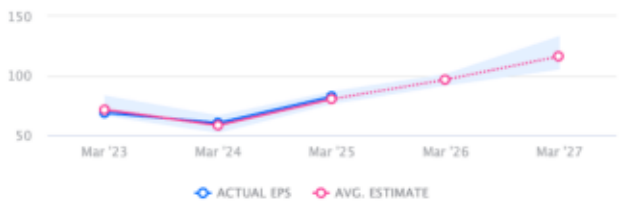
FORECASTER DASHBOARD →

SHARE PRICE TARGET FORECAST — 12 MONTH ESTIMATE



in Rs

EPS FORECAST — QUARTER | ANNUAL



in Rs

CONSENSUS RECOMMENDATION — 31 ANALYST Recommendations

HOLD

	STRONG BUY	BUY	HOLD	SELL	STRONG SELL
Oct '25	8	4	5	7	5
Nov '25	8	5	5	6	6
Dec '25	8	5	5	6	6
Jan '26	9	5	5	6	6
Feb '26	11	4	5	7	4
Mar '26	11	4	5	7	4